

NATURE AND OBJECTIVES OF CAPITAL GAINS TAX

In the usual income tax computations, profits or losses on disposal of fixed assets are excluded by means of adjustments to the relevant accounting results. At the same time, balancing adjustment would be made in the capital allowances computation in respect of the difference between the proceeds of disposal and the tax written down value of such assets. Balancing allowance will be granted if the proceed falls short of the written down value and a balancing charge, if the proceed is higher. In the latter case, if the proceed is greater than the cost, the amount of the balancing charge would be restricted to the amount of capital allowances previously granted. This will be the difference between the cost of acquisition and the tax written down value of disposal. In such a situation, another surplus, that is, the difference between the proceed and the cost, which has not been subjected to any taxation treatment arises. In taxation law and practice, all transactions of capital nature are excluded from income tax. In view of the fact that the surplus referred to is a capital receipt, it cannot be included in gains or profits for income tax purposes.

However, such capital gains are subject to Capital Gains Tax (CGT) under the Capital Gains Tax Act (CGTA).

The Capital Gains Tax Act enacted in 1967, came into effect from the 1967/68 assessment year. In addition to the necessity to charge capital gains to tax as illustrated above, the Act could also have been introduced to produce an additional source of revenue to Government to finance Nigeria's civil war.

The principal Act together with all amendments thereto has been re-enacted as Capital Gains Tax Act CAP C1 of the Laws of the Federation of Nigeria (LFN) 2004 (as amended).

ADMINISTRATION OF CAPITAL GAINS TAX

The management of the Capital Gains Tax Act with respect to corporate bodies, individuals resident in the Federal Capital Territory (FCT) and Non-resident Individuals (Individuals outside Nigeria), is placed under the administration of the Federal Inland Revenue Service. This is with regards to returns, assessments, appeals, collections, recovery and repayments, offences and penalties as well as litigations.

The management of the Act with respect to individuals (except Non-residents), is placed under the administration of the States' Internal Revenue Service.

Certain provisions of the "Income Tax Acts" (detailed in a schedule attached to the Capital Gains Tax Act) shall apply in relation to Capital Gains tax as they apply in relation to income tax chargeable under those Acts subject to any necessary modifications – Section 43(1)

Appeals against any assessment to Capital Gains Tax (CGT) shall be made in accordance with Section 54 of CITA or Section 53 of the PITA as the case may be, to the Tax Appeal Tribunal established under the Companies Income Tax Act. Section 43(2) of CITA.

CAPITAL GAINS

Capital Gains may be defined as gains arising from increases in the market value of capital assets, to a corporate body or person who does not habitually offer them for sale, and in whose hands they do not constitute stock-in-trade.

It is the difference between the consideration accruing and sums excluded from the consideration, being cost and ancillary costs of disposal of a capital asset.

One guiding principle is to examine, the purpose for which an asset is bought and / or sold. Where an asset is acquired and / or kept for use or as an investment, proceeds on the disposal of any such asset shall be treated as a capital receipt and any gain thereon will be regarded as a Capital Gain.

On the other hand, where fixed assets are kept and sold regularly for gains (profits), such disposal proceeds shall be treated as normal income receipts and taxed under the Personal Income Tax Act P8 LFN 2004 (as amended) or Companies Income Tax Act CAP C21 LFN 2004 (as amended).

CGT IMPOSITION

The tax is imposed on gains arising out of the ownership of a capital asset changing hands, either by exchange, transfer, sales or gift.

The Act as it is presently is silent on gains arising from the appreciation in value of an asset, which has not changed hands over time.

Capital Gains Tax is chargeable on the total amount of the chargeable gains arising after deducting allowable expenses on the disposal of Chargeable assets, in a year of assessment.

Year of Assessment

A year of assessment in relation to Capital Gains Tax means, a year beginning with 1 January and ending with 31 December in the same calendar year with effect from 1969.

ALLOWABLE AND DISALLOWABLE EXPENDITURE

Deductions allowable (Section 14)

- (a) Cost of acquisition or purchase price, including all costs incidental to the purchase.
- (b) Improvement costs wholly, reasonably, exclusively and necessarily incurred.
- (c) Cost wholly, reasonably, exclusively, and necessarily incurred in establishing, preserving or defending the owner's title to or a right over the asset.
- (d) Incidental costs of disposal.

These include:

- (a) Fees, commissions or remuneration paid for professional services of surveyor or valuer; auctioneer, accountant: agent and or legal adviser;
- (b) Cost of transfer or conveyance (including Stamp Duties);
- (c) Advertisement cost to find a seller/buyer; and
- (d) Cost reasonably incurred to make any valuation or apportionment required for the purpose of computing the capital gains including expenses in ascertaining market value where required.

Disallowable Expenditure

Sums allowable as a deduction in computing the profits or gains or losses of a trade for income tax purposes are not allowable deduction under Section 14 above (Section 15).

Insurance premiums on the asset are not allowable – Section 16.

RATE

Capital Gains Tax (CGT) is chargeable at 10% on capital gains arising from disposal of assets (20% applied up to 31/12/95).

COMPUTATION OF CHARGEABLE GAINS

Gains Chargeable

Section 3, CGT Act defined chargeable assets as meaning all forms of property, whether situated in Nigeria or not and including:

- (a) Options, debts and incorporeal property generally;
- (b) Any currency other than Nigerian currency; and
- (c) Any form of property created by the person disposing of it, or otherwise coming to be owned without being acquired;
- (d) All qualifying capital expenditures

EXEMPTIONS FROM CAPITAL GAINS TAX

The following are exempt chargeable gains:

- (a) Gains accruing to:
 - (i) An ecclesiastical, charitable or educational institution of a public character;
 - (ii) Any statutory or registered friendly society;
 - (iii) Any cooperative society registered under the Cooperative Societies Law of any State; and
 - (iv) Any Trade Union registered under the Trade Unions Act. In so far as the gain is not derived from any disposal of any assets acquired in connection with any trade or business carried on by the institution or society and the gain is applied purely for the purpose of the institution or society as the case may be (Section 27(1)).
- (b) Gains accruing to any Local Government Council (Section 28(1))
- (c) Gains accruing to any company, being a purchasing authority established by or under any law in Nigeria, empowered to acquire any commodity in Nigeria for export from Nigeria; or
Gains accruing to any corporation established by or under any law for the purpose of fostering the economic development of any part of Nigeria in so far as the gains are not derived from the disposal of any assets acquired by the corporation in connection with any trade or business carried on by it or from the disposal of any share or other interest possessed by the corporation in a trade or business carried on by some person or authority (Section 28(2)).
- (d) Gains accruing on disposal of investments held as part of any superannuation fund or other statutory retirement benefits scheme to the same extent as income derived from the assets would be exempt under Section 20 of PITA (Section 29.1).

Disposal of a right to, or any part of any sum payable out of any superannuation fund shall also not be chargeable (Section 29.2) “Superannuation Fund” means a pension, provident or other retirement benefits fund, society or scheme approved by the Joint Tax Revenue Service under Section 21(1) (g) of PITA.

(e) Gains accruing on disposal by any person of a decoration awarded for valour or gallant conduct which he acquires otherwise than for consideration in money or money’s worth (Section 30).

(f) Gains accruing from a disposal of Nigerian Government Securities (Section 31)

Nigerian Government Securities include Nigeria treasury bonds, savings certificates and premium bonds issued under the Savings Bonds and Certificates Act.

(g) Gains accruing on disposal of land compulsorily acquired by an authority having and exercising such powers (Section 9).

(h) Gains accruing in connection with the disposal of an interest in or the right under any policy of assurance or contract for a deferred annuity on the life of any person (Section 33).

DISPOSAL AND ACQUISITION OF ASSETS

Meaning of ‘Disposal’

Except as specifically exempted by the Act, this is a disposal of assets by a person where any capital sum is derived from a sale, lease, transfer, assignment, compulsory acquisition or any other disposition of assets, notwithstanding that no asset is acquired by the person paying the capital sum, and in particular

(a) Where any capital sum is derived by way of compensation for any loss of office or employment;

(b) Where any capital sum is received under a policy of insurance and the risk of any kind of damage or injury to, or the loss, or depreciation of, assets;

(c) Where any capital sum is received in return for forfeiture or surrenders of rights or from refraining from exercising rights;

(d) Where any capital sum is received as consideration for use or exploitation of any asset; and

(e) Without prejudice to paragraph (a) above where any capital sum is received in connection with or arises by virtue of any trade, business, profession or vocation (Section 6(1)).

It is also stated in the Act that disposal includes reference to part disposal

When An Acquisition/Disposal Is Effective

Acquisition/disposal takes effect on the date of the contract to acquire/dispose of the asset or on a date at which there is an enforceable right to acquire or a binding duty to dispose of the asset or any right or interest therein, and in particular:

(a) Where any contract is to be performed subject to any condition, the date of acquisition/disposal shall be the date when the condition is satisfied, but where a consideration of such contract does not depend solely or mainly on the value of the asset at the time the condition is satisfied, the acquisition/disposal shall be treated as if the contract had never been conditional, in which case the effective date shall be the date of the contract.

(b) Where an option is conferred by virtue of any contract, the date of the acquisition or disposal of asset shall be the date when the option is exercised (Section 11).

QUESTION ONE: Garaha and Sons Limited, a company based in Mbalwaha – Hong Local Government Area of Adamawa State, has been producing Groundnut oil since 2019. It has been a leading name in the production of a popular brand of household cooking oil known as “ Mal uada ” which is in high demand.

Given the fact that the company is doing very well, it secured funds from its bankers and bought additional Plant and Machinery in excess of its immediate needs on June 1, 2019 for N24, 600,000.

The Finance Director convinced the Board to dispose part of the plant and machinery to boost the company’s working capital. Consequently, on December 31, 2019, the company sold part of the Plant and Machinery for N37, 925,000 and spent N5, 125,000 as expenses incidental to the sale. The market value of the remaining Plant and Machinery was N15, 375,000 as at December 31, 2019.

However, the issue of the tax implications of these transactions is worrisome to the Managing Director, who is visibly disturbed that the Federal Inland Revenue Service (FIRS) might come after the company.

As the tax consultant to the company, **you are required to:**

(A). State any FOUR Chargeable Assets. **(B).** State any FOUR conditions for granting Roll-Over Relief. **(C)** Compute the Chargeable Gains on the asset sold. **(D)** Compute the Capital Gains Tax.

QUESTION TWO: In its efforts to improve the corporate image of TASC0 Limited, the Board of Directors approved the relocation of its Corporate Head Office from Yola to Mubi with effect from 1 December, 2018. The ultra-modern Corporate Head Office was acquired for N320million on 15 July, 2018 and the sum of N140million incurred on improvement and renovation.

The old Corporate Office in Yola built at a total cost of N200million in 2011 had carrying value of N300million as at 31 December, 2017 and was disposed of on 27 June, 2018 for N280million.

You are required to:

- a.** Outline the tax implications of the disposal of Yola office and compute the relevant tax payable on disposal.
- b.** Ascertain the cost of the new ultra-modern head office for the purposes of Capital Gains Tax and Capital Allowance.
- c.** Explain briefly the concept of Capital Gains arising on assets on which RollOver Relief had been granted.